

MULTIFAMILY & EVICTION RECOVERY · REFERENCE

Post-Eviction Recovery

Turning unpaid rent, move-out damages and lease-break fees from a write-off back into recovered revenue

Getting possession of the unit back is only half the loss. When a tenant is evicted or skips, the money they owe — unpaid rent, damage beyond the deposit, and the fees the lease entitles you to — walks out the door with them. This reference explains what is actually recoverable after move-out, why these balances are the hardest a property team collects, and the skip-tracing and credit-reporting mechanics that turn a stale ledger balance back into cash.

Executive summary

- The writ restores the unit; it does not recover the money. Unpaid rent, damages and fees remain a separate, collectible debt.
- Professional skip tracing locates 70–80% of former tenants who move without a forwarding address — the first requirement for any recovery.
- Credit reporting is the leverage: an unpaid-rent tradeline can lower a score by 50–100+ points, stays on file up to seven years, and — through Experian RentBureau — follows the tenant to their next lease.
- Contingency pricing means \$0 upfront: multifamily and eviction placements typically run 20–50%, set by placement frequency, volume and balance size.

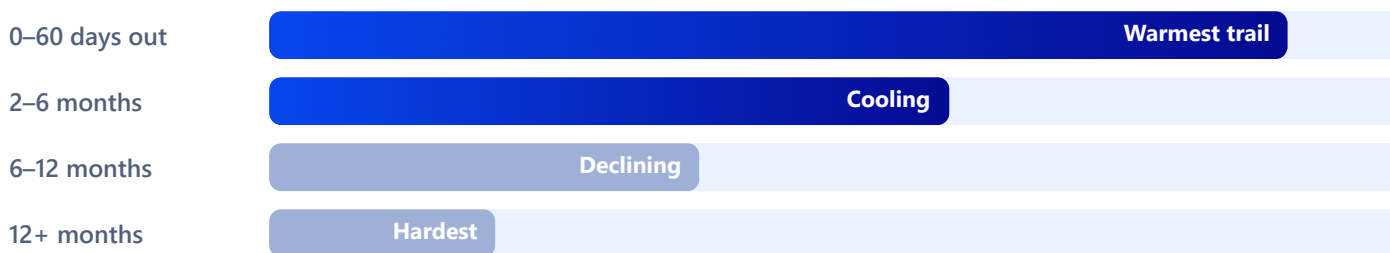
1. What you can recover — and why it's hard

A move-out balance is rarely just back rent. On a properly documented ledger the recoverable total usually spans several categories the lease already entitles you to: unpaid rent through the move-out or lease-end date, property damage in excess of the security deposit, broken-lease and holdover fees where the lease provides for them, unpaid utilities billed back to the resident, contractual late fees and forfeited concessions, and — where awarded or provided for — court costs and legal fees. The more complete the file (the signed lease, the itemized ledger, the move-out inspection with photos, and the deposit accounting), the faster and more fully the balance comes back.

These are also the hardest balances a property team collects, for reasons that compound. The tenant is gone, so by definition there is no current address and the phone on file is often disconnected. Ties are cut — a former resident has no ongoing relationship with the community and little immediate incentive to pay. Records degrade, and the move-out documentation that makes a balance defensible is strongest right after move-out. And on-site teams are focused on occupancy, not on chasing departed residents across data sources. Industry recovery reflects that difficulty: the National Apartment Association reports multifamily recovery of roughly 15–20% nationally, dropping below 10% in lower-income segments — which is exactly why placement timing, skip-tracing quality and credit-reporting leverage matter so much.

2. Recovery falls as the balance ages

The same age curve that governs every receivable is even steeper for departed tenants, because contact data goes stale fastest here. A balance placed within weeks of move-out — while the trail is warm and the tenant is re-establishing utilities, employment and a new address — recovers materially more than one placed a year later.



Illustrative and relative — actual recovery varies by balance, documentation and how quickly the account is placed. Industry data underscores the difficulty of aged multifamily debt (the National Apartment Association reports overall recovery around 15–20% nationally), which is exactly why placement timing is the biggest lever available.

The lesson is not to abandon older accounts — aged balances should still be placed, and on contingency there is no cost to trying — but the sooner a move-out balance is placed, the more comes back. The single highest-leverage habit a property team can build is a standing rule to place every move-out balance within 30 to 45 days rather than letting it drift toward write-off.

3. Skip tracing and credit reporting: how the money actually comes back

Recovery is impossible until you reach the right party, and a departed tenant rarely leaves a forwarding address. Professional skip tracing combines credit-header data, public records and multiple commercial databases to locate former residents, achieving 70–80% location success where an on-site team working from a stale application would stall. Locating is not the same as collecting, but it is the prerequisite for everything that follows — and on every placement it is standard, not a billable add-on.

Once the tenant is located, the strongest motivator is the effect on their ability to rent again. Reported correctly, an unpaid-rent balance can lower a former tenant’s credit score by 50 to 100 points or more, remains on the credit file for up to seven years, and — through Experian RentBureau — appears on the tenant-screening report the *next* landlord pulls, so the debt literally follows the tenant to their next application. Southwest Recovery reports qualifying accounts to Equifax and Experian, plus Experian RentBureau — the rental-specific database most landlords cannot furnish to themselves, and the single biggest reason to place these accounts rather than write them off. The reporting itself, done compliantly, is often what converts a “never-going-to-pay” balance into a negotiated settlement.

Because residential tenant debt is consumer debt, all of this happens inside the FDCPA and its Regulation F: a validation notice with the debt amount, creditor name and consumer rights within five days of initial contact; call-frequency limits (no more than seven attempts per debt in a seven-day period, and no call within seven days after speaking with the consumer); and a 30-day dispute window honored before any balance is reported. Landlords collecting their own debt are generally “original creditors” with fewer restrictions — but the moment recovery is outsourced, Reg F applies, and using a compliant specialist protects the owner as much as it recovers the balance.

The write-off is a choice, not an inevitability

Most operators absorb the money side of an eviction as a cost of doing business, moving the balance to write-off the moment the unit turns. On pure contingency, that is leaving recovery on the table for no reason. A write-off is a

guaranteed zero; a placement is not. Even at the industry-average multifamily recovery of 15–20%, a portfolio of balances you had already given up on returns real money — and well-documented accounts worked while the trail is warm, with the credit and RentBureau leverage behind them, routinely do better than the average. Because there is no upfront cost and no fee unless we collect, the only question a placement really poses is whether you would rather recover a share of the balance or none of it.

What separates a fast, full recovery from a stalled one is the file. The signed lease establishes the obligation and the fees you are entitled to; the itemized ledger reconciles exactly what is owed; the move-out inspection with dated photos supports the damage claim beyond the deposit; and the deposit accounting shows the balance net of what was already applied. The more complete that package at placement, the faster we validate under Reg F, the cleaner any dispute resolves, and the stronger the position from which we negotiate — which is why the few minutes spent assembling it at move-out pay back many times over.

How Southwest Recovery works your move-out ledger

Placement is low-lift: upload your delinquency ledger export from AppFolio (or any system) with the lease and move-out documentation through our secure portal, and outreach begins within 24–48 hours. Skip tracing and, where qualifying, credit reporting are standard on every account; payment arrangements and settlements are documented; and for balances that justify it we review legal escalation with you. It is pure contingency — \$0 upfront, no retainer, no minimum — so placing a move-out balance is never a cost decision, only a recovery one.

About Southwest Recovery Services

Southwest Recovery Services is a property-management and multifamily recovery specialist working post-eviction and unpaid-rent balances on pure contingency since 2004 — with a strong Texas footprint of six offices (Addison HQ, Austin, Dallas, Houston, Midland, San Antonio) among twelve across seven states, and recovery reach nationwide. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts. We furnish qualifying accounts to Equifax and Experian, plus Experian RentBureau — the rental-specific value-add most landlords cannot report themselves — at no additional charge, and we work every account on pure contingency (\$0 upfront) under a documented, FDCPA/Reg F-compliant process as an ACA International member.

Turn your move-out ledger back into revenue

Send us a representative sample of your post-eviction balances and we'll give you an honest read on what's recoverable — and put a contingency rate against it.

Call [\(866\) 551-4684](tel:8665514684) · sdietz@swrecovery.com · swrecovery.com

Provided for general informational purposes; not legal advice. Recovery figures are illustrative and vary by portfolio; statutes and court timelines vary by jurisdiction — confirm with counsel. Southwest Recovery Services does not collect consumer debt in California, Oregon or Washington.